"Private" Governance Is Actually a Club Good

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Abstract

Network governance is a club good. Courts that displace a network's authority to ostracize rule-breakers weaken the excludability that makes governance valuable to members and non-members alike. When the ostracism mechanism loses credibility, members defect from governance obligations, governance quality declines, and the positive externalities governance creates for non-members disappear. Courts should therefore recognize doctrines that defer to network decisions as implicit Pigouvian subsidies that reduce governance costs and help prevent the undersupply of socially valuable governance.

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Introduction

Debates about "governance"[1] usually treat "public" governance as what sovereign states do through coercion,[2] while treating "private" governance as what networks and organizations do through voluntary affiliation.[3] But public versus private is a false dichotomy. Economic theory recognizes not two types of goods but four types: private goods, public goods, common-pool resources, and club goods.[4] This Article shows that so-called private governance has features of a club good: it is excludable through ostracism, nonrivalrous up to congestion, voluntarily joined, and financed by its members.

Club goods can generate positive externalities in the form of benefits to non-members.[5] But, perhaps ironically, public benefits of private clubs depend on that club's ability to exclude the public. When a club's ostracism mechanism is weakened, members defect, governance quality declines, the club good decays into a public good, and the positive externalities governance creates for non-members disappear.[6]

Reframing private governance as a club good reveals why its network governance may be undersupplied. Litigation regarding ostracism from clubs is not a mere disputes over private ordering. Awarding damages to excluded members might produce public costs that outweigh private benefits. When court displace a club's ostracism mechanism, this triggers a compound welfare loss in which both the internal good and its external spillovers are destroyed. Non-members can bear the heaviest costs.

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[1] Governance generally refers to any system of refereeing that allows a group of people with disparate interests to collaborate.

[2] *See* Thomas Hobbes, LEVIATHAN 117–22 (Richard Tuck ed., Cambridge Univerity Press 1996) (1651) (contending that stable social order requires individuals in the state of nature to confer authority on a sovereign whose coercive power makes compliance with civil laws and covenants rational, since "covenants, without the sword, are but words"). Hobbes's sovereign is the canonical model of what I mean by "public" governance through coercion.

[3] *See* F.A. Hayek, Law, LEGISLATION AND LIBERTY: A NEW STATEMENT OF THE LIBERAL PRINCIPLES OF JUSTICE AND POLITICAL ECONOMY 35–54 (University of Chicago Press 1973) (developing the idea of "spontaneous order," in which social rules and institutions emerge from decentralized interactions rather than from centralized coercive design). Hayek's account of norms and institutions arising from voluntary arrangements provides the canonical contrast to Hobbesian governance by a coercive sovereign.

[4] *See* James M. Buchanan, *An Economic Theory of Clubs,* 32 ECONOMICA 1, 1–14 (1965) (introducing "club goods" as excludable but nonrivalrous up to congestion, alongside private and public goods); Elinor Ostrom, GOVERNING THE COMMONS: THE EVOLUTION OF INSTITUTIONS FOR COLLECTIVE ACTION 30–33 (Cambridge University Press 1990) (distinguishing private goods, public goods, common-pool resources, and toll/club goods using excludability and rivalry as the two dimensions).

[5] *E.g.*, Paul G. Mahoney, *The Exchange as Regulator*, 83 VA. L. REV. 1453, 1457–58, 1466–67 (1997) (arguing that exchange rules can prevent free riding by nonmembers on the exchange's prices and other assets, thereby linking member governance to broader market benefits); *see also* Mark Koyama, *Prosecution Associations in Industrial Revolution England,* 28 J. LEGAL STUD. 95, 95–96 (2012) (describing associations that bundled a private good for members with the public good of crime deterrence)

[6] *See* Mancur Olson, THE LOGIC OF COLLECTIVE ACTION: PUBLIC GOODS AND THE THEORY OF GROUPS 2, 44–52 (Harvard Univ. Press 1965) (explaining that collective goods deteriorate when members can free ride and no selective incentive or coercive mechanism makes contribution individually rational); *see also* Barak D. Richman, Firms, *Courts, and Reputation Mechanisms: Towards a Positive Theory of Private Ordering*, 104 COLUM. L. REV. 2328, 2332–39 (2004) (explaining that private-ordering systems depend on credible reputational sanctions and exclusion to sustain cooperation)

Part I establishes that governance satisfies Buchanan's criteria for club goods and documents positive externalities to non-members across three domains.[7] Part II demonstrates the compound welfare loss and shows when external losses dominate internal ones. Part III recharacterizes four doctrines that defer to network decisions to exclude non-members or ostracize members as Pigouvian subsidies and stress-tests the framework against *Loper Bright's* overruling of *Chevron* deference. Part IV confronts the cartel, discrimination, and judicial-externality objections and proposes a standard of calibrated deference.

Consider the New York Diamond Dealers Club: for over a century, a complete private legal system governing billions of dollars in annual unsecured credit, enforced through a single mechanism — the credible threat of ostracism propagated to every affiliated bourse worldwide.[8] For members, this governance reduced transaction costs. For downstream buyers, retailers, and consumers who never joined the DDC, it reduced fraud. When the system eroded, those fraud costs spread to banks, retailers, and the consuming public.[9] The club good was destroyed, and non-members bore the heaviest costs. Part I develops this paradigm case and two others in detail.

Consider next Maine's lobster gangs. James Acheson documented governance operating at the opposite end of institutional formality from the DDC.[10] Territory enforcement emerges through graduated social sanctions: verbal warnings escalate to gear interference, cutting of trap lines, and ultimately exclusion from fishing territories. The scale is substantial — Maine lobster landings have exceeded 130 million pounds annually, worth over $500 million. Yet this system operates with no written bylaws, no formal tribunal, no headquarters — governance sustained entirely through the credible threat of social ostracism and economic exclusion. The governing body can expel a fisher from the community, and that expulsion is communicated through networks spanning the entire coast, effectively ending the fisher's access to productive territory. The mechanism operates identically to the DDC's formal apparatus: gradualism, community awareness, and irreversibility of exclusion render the ostracism threat credible and member cooperation rational. The ostracism mechanism maintains governance at every level of institutional formality, from Manhattan diamond exchanges to Maine fishing communities. Mapping this mechanism's operation across contexts — formal and informal, urban and rural, global and local — shows that the analytical move is not domain-specific but general. Part IV's sliding-scale procedural standard reflects this generality,

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[7] Prior work has recognized governance institutions as clubs without modeling the welfare consequences of governance degradation or drawing implications for judicial deference. *See* Edward Peter Stringham, Private Governance: Creating Order in Economic and Social Life 21–36 (2015); Mark Koyama, *Prosecution Associations in Industrial Revolution England: Private Providers of Public Goods?*, 41 J. Legal Stud. 95 (2012); L. Lynne Kiesling, *The Promise and Perils of Exclusion*, J. Institutional Econ. (2026). Part I's "Novel Classification" subsection engages these predecessors in detail.

[8] Lisa Bernstein, *Opting Out of the Legal System: Extralegal Contractual Relations in the Diamond Industry*, 21 J. LEGAL STUD. 115, 119–43 (1992).

[9] Barak D. Richman, *An Autopsy of Cooperation: Diamond Dealers and the Limits of Trust-Based Exchange*, 9 J. Legal Analysis 247, 257–76 (2017) (documenting the DDC's decline and the spread of costs to banks, retailers, and consumers).

[10] James M. Acheson, THE LOBSTER GANGS OF MAINE: TERRITORIAL ENFORCEMENT IN A NEAR-OPEN ACCESS RESOURCE (University Press of New England, 1988).

calibrating the governance presumption to the institutional context in which ostracism operates.

Governance as a Club Good

Mapping governance onto Buchanan's four criteria reveals not only that the classification holds but that it holds across institutional domains that share no common features except the ostracism mechanism. Diamond bourses, stock exchanges, and commons communities differ in size, formality, subject matter, geographic scope, and cultural context. What they share is a governance apparatus that satisfies each of Buchanan's defining conditions — excludable through the authority to ostracize rule-breakers, partially rivalrous through the congestion that determines optimal group size, voluntarily joined, and financed by members who bear its costs[11] — and that generates positive externalities for non-members who never participate in the governing body. Prior scholars have recognized that governance institutions can function as clubs, and that some club arrangements generate spillover benefits.[12] What no prior work has done is model the welfare consequences of degrading a governance club good that simultaneously generates positive externalities to non-members, or draw the implication for how courts should treat governance decisions. This Part establishes the classification, documents the externalities, and identifies the analytical move that prior scholarship has not made.

Buchanan's Framework

In 1965, James Buchanan identified a category of goods that fits neither the private nor the public ideal type.[13] A pure private good is both excludable (nonpayers can be denied access) and rivalrous (one person's consumption diminishes another's). A pure public good is neither excludable nor rivalrous — national defense and clean air are consumed by everyone regardless of contribution. Buchanan observed that most goods fall between these poles. His canonical example was a swimming pool: members can be excluded through the gate, but the pool is nonrivalrous up to a point — adding swimmers does not diminish anyone's enjoyment until crowding sets in. The optimal club size balances the cost savings from sharing against the welfare losses from congestion.[14]

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[11] James M. Buchanan, *An Economic Theory of Clubs*, 32 ECONOMICA 1, 1–14 (1965).

[12] *See* Edward Peter Stringham, PRIVATE GOVERNANCE: CREATING ORDER IN ECONOMIC AND SOCIAL LIFE 21–36 (2015) (analyzing governance through a club framework but without modeling externalities to non-members or welfare consequences of degradation); L. Lynne Kiesling, *The Promise and Perils of Exclusion: Using Institutional Design Principles and the Theory of Clubs to Analyse Regional Transmission Organization Governance*, J. INSTITUTIONAL ECON. (2026) (integrating Buchanan's club theory with Ostrom's CPR framework for electricity grid governance); Mark Koyama, *Prosecution Associations in Industrial Revolution England: Private Providers of Public Goods?*, 41 J. LEGAL STUD. 95 (2012) (documenting prosecution associations that bundled private insurance with the public good of deterrence).

[13] *Id.* at 1–2.

[14] *Id.* at 6–10. Buchanan's formal model optimizes over two variables simultaneously: the quantity of the shared good and the number of members. The optimal membership is the point at which the marginal cost savings from adding a member equal the marginal congestion costs that member imposes.

Four criteria define a club good. First, *excludability*: the club can deny access to the good by denying membership or expelling violators. Second, *partial rivalry through congestion*: the good is nonrivalrous within capacity but degrades as use increases, creating an optimal size beyond which additional users reduce quality for existing members. Third, *voluntary membership*: individuals choose to join and may exit. Fourth, *self-financing*: members bear the costs of provision through dues, fees, or contributions, rather than relying on taxation or external subsidy.[15] Goods satisfying these criteria — from golf courses to satellite television to gated communities — occupy the analytical space between markets and government that Buchanan's framework was designed to illuminate.[16]

A potential objection warrants address at the threshold. If governance consumes finite enforcement resources — every arbitration hearing occupies a tribunal, every monitoring action costs staff time — then governance may be rivalrous from the start, placing it in the common-pool resource quadrant of Ostrom's matrix rather than the club good quadrant. The distinction turns on the *primary* source of quality degradation. For a common-pool resource like a fishery, each unit of extraction directly subtracts from the stock available to others; rivalry is intrinsic to consumption. For governance, quality degrades not because each member's use of the governance mechanism subtracts from the mechanism itself, but because the mechanism's *credibility* depends on the fraction of members who cooperate. A DDC member who submits a dispute to arbitration does not diminish the arbitration system's capacity in the way that a fisher's catch diminishes the fish stock. The system can hear the dispute without reducing its ability to hear the next one — up to the point of congestion. What degrades governance is not overuse but defection: members who cheat, free-ride on others' compliance, or refuse to accept arbitral outcomes. This is Buchanan's congestion pattern (quality declines with overuse beyond a threshold), not Ostrom's subtractability pattern (each unit of consumption subtracts from the total).[17]

Three Domains of Governance Externalities

Governance mechanisms satisfy Buchanan's criteria across a range of institutional settings. More importantly, they generate positive externalities — benefits that flow to nonmembers who never participate in the governing body and cannot be charged for the benefits they receive. Three domains illustrate both the classification and the externality.

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[15] Richard Cornes & Todd Sandler, THE THEORY OF EXTERNALITIES, PUBLIC GOODS, AND CLUB GOODS 347–97 (2d ed. 1996) (extending Buchanan's model to incorporate heterogeneous members, multiple goods, and institutional variation); Todd Sandler & John T. Tschirhart, *The Economic Theory of Clubs: An Evaluative Survey*, 18 J. ECON. LITERATURE 1481, 1481–1521 (1980) (surveying the first fifteen years of club theory and identifying extensions to local public goods, alliances, and facility-sharing).

[16] Buchanan's insight has been applied to NATO burden-sharing, Tiebout jurisdictional competition, telecommunications networks, and environmental programs. *See* Sandler & Tschirhart, *supra* note 9, at 1504–14. What it has not been applied to — until now — is the governance mechanism itself.

[17] The distinction matters for the welfare analysis in Part II. If governance were a common-pool resource, degradation would follow from overuse — each member consuming more governance than the system can sustain. Because governance is a club good, degradation follows from undermined excludability — members defecting because the ostracism threat is no longer credible. The policy implication differs: CPR degradation calls for use restrictions; club good degradation calls for restoring excludability. Judicial deference restores excludability. It does not restrict use.

Diamond Bourses

The New York Diamond Dealers Club operates a complete private legal system. Members transact on the basis of oral agreements sealed with the phrase *mazal u'bracha*, with disputes resolved through internal arbitration rather than litigation.[18] Lisa Bernstein's foundational study documented a governance mechanism encompassing rules of conduct, binding arbitration, graduated sanctions, and information sharing propagated worldwide through the World Federation of Diamond Bourses.[19] The mechanism satisfies each of Buchanan's criteria. Excludability operates through ostracism: a member found to have cheated faces expulsion from the DDC, and that expulsion is communicated to every affiliated bourse worldwide, effectively ending the trader's career.[20] Congestion constrains optimal size: as Richard Cooter and Janet Landa demonstrated, enforcement costs rise as trading networks expand beyond the group's capacity to monitor behavior through personal knowledge and reputation, degrading governance quality in a pattern structurally identical to Buchanan's congestion function.[21] Membership is voluntary — traders choose to join the DDC and accept its rules — and self-financing through dues and arbitration fees.

What sustains this system is not the act of expulsion itself — actual expulsions are rare — but the credible threat of expulsion and the cost it imposes. A trader expelled from the DDC loses access to the only marketplace where billions of dollars in diamonds change hands on oral agreements. No other institution offers equivalent access at equivalent cost. Because every member knows this, every member has reason to comply with DDC rules, accept arbitration outcomes, and deal honestly — not out of altruism but because the alternative is economic exile. The threat of ostracism converts what would otherwise be a collective action problem (each trader has an individual incentive to cheat) into a cooperative equilibrium (no trader cheats because the cost of getting caught exceeds the gain from cheating). It is this equilibrium — sustained by the credible threat of exclusion, not by any external enforcement authority — that produces the governance quality from which non-members benefit.

The governance mechanism generates positive externalities for non-members. DDC arbitration and enforcement reduce fraud rates throughout the diamond supply chain, benefiting downstream buyers — retailers, jewelers, insurers, consumers — who never join the

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[18] Lisa Bernstein, *Opting Out of the Legal System: Extralegal Contractual Relations in the Diamond Industry*, 21 J. LEGAL STUD. 115, 119–25 (1992).

[19] *Id.* at 130–38 (describing the DDC's arbitration system, its relationship to the WFDB, and the propagation of sanctions across affiliated bourses).

[20] *Id.* at 138–43 (documenting how expulsion from one bourse triggers worldwide exclusion through the WFDB network). Janet Landa described these sanctions as the functional equivalent of contract law: "(a) withdrawal of credit so that the trader has to deal on a cash basis; (b) exclusion from future dealings; and (c) 'expulsion' from the group via bankruptcy proceedings." Janet T. Landa, *A Theory of the Ethnically Homogeneous Middleman Group: An Institutional Alternative to Contract Law*, 10 J. LEGAL STUD. 349, 356 (1981).

[21] Richard Cooter & Janet Landa, *Personal Versus Impersonal Trade: The Size of Trading Groups and Contract Law*, 4 INT'L REV. L. & ECON. 15, 19–24 (1984) (extending Buchanan's optimal-size analysis to trading networks and showing that enforcement costs rise sharply at ethnic boundaries where monitoring capacity declines).

bourse and pay nothing for its governance.[22] Barak Richman's study of the DDC's decline confirmed the externality by documenting the counterfactual. When the trust-based trading system eroded under pressure from globalization, new market entrants, and technological change, fraud costs spread to banks, retailers, and consumers who had previously benefited from the DDC's governance without bearing its costs.[23] Vertical integration replaced trust-based exchange as the dominant transactional form — a costlier institutional arrangement that eliminated the externality-generating mechanism entirely.[24]

Stock Exchange Self-Regulation

Stock exchanges have regulated their members since long before the Securities and Exchange Commission existed.[25] The governance mechanism includes listing standards, trading surveillance, member discipline, and enforcement actions — a regulatory apparatus operated by the exchange for its members and enforced through the threat of expulsion from trading privileges.[26] Excludability operates through membership revocation and the denial of trading access. Congestion is inherent: monitoring quality degrades as market complexity increases and the number of regulated entities grows relative to enforcement capacity. Membership is voluntary in the relevant sense — FINRA membership is mandatory for registered broker-dealers, but the decision to become a broker-dealer is itself voluntary, and the mandatory character reflects Congress's judgment that self-regulatory governance produces benefits worth preserving.[27]

The externality to non-members is market integrity. Exchange self-regulation reduces insider trading, deters fraud, and improves price discovery — benefits that accrue to every in-

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[22] The externality operates through the fraud-reduction channel. When the DDC credibly sanctions cheaters, the expected cost of fraud in the diamond supply chain falls for all participants, not just DDC members. A retailer purchasing diamonds from a DDC-affiliated dealer benefits from the lower fraud probability even though the retailer is not a DDC member and pays no DDC dues.

[23] Barak D. Richman, *An Autopsy of Cooperation: Diamond Dealers and the Limits of Trust-Based Exchange*, 9 J. Legal Analysis 247, 269 (2017) ("[T]he rash of bankruptcies among diamond processing companies today isn't simply bad news for these companies and their creditors. It's bad news for all of us. The banks don't trust the industry any more.").

[24] *Id.* at 275 (documenting how vertical integration strategies arose to mitigate transactional hazards when the trust-based system no longer provided reliable governance).

[25] Paul G. Mahoney, *The Exchange as Regulator*, 83 VA. L. REV. 1453, 1457–62 (1997) (documenting NYSE self-regulatory rules dating to the nineteenth century and arguing that Congress built the Securities Exchange Act of 1934 on existing self-regulatory infrastructure rather than replacing it).

[26] FINRA reported approximately 700 disciplinary actions and roughly 350–400 individuals barred from the securities industry in 2023. *See* FINRA, 2023 Annual Report; *cf.* SEC Division of Enforcement, Annual Report FY 2023 (reporting 784 total enforcement actions). The volume of SRO enforcement is comparable to or exceeds the SEC's own output, supporting the claim that self-regulatory governance produces substantial enforcement at scale.

[27] The Securities Exchange Act of 1934 § 15A, 15 U.S.C. § 78o-3, requires broker-dealers to register with a national securities association (effectively FINRA). Congress imposed this requirement precisely because it recognized that self-regulatory governance generates benefits — market integrity, investor confidence, efficient price discovery — that the SEC alone could not produce at equivalent scale or cost. *See* Mahoney, *supra* note 19, at 1462–70.

vestor in the market, not just the member firms subject to SRO rules.[28] Mahoney argued that exchange rules against fraud and manipulation function to "prevent free riding on the exchange's prices and other assets by nonmembers," directly connecting exchange governance to the club goods framework.[29] When the Supreme Court imposed procedural requirements on NYSE governance decisions in *Silver v. New York Stock Exchange*, it acknowledged both the value of self-regulation and the risk of its abuse — holding that "the entire public policy of self-regulation, beginning with the idea that the Exchange may set up barriers to membership, contemplates that the Exchange will engage in restraints of trade which might well be unreasonable absent sanction by the Securities Exchange Act."[30]

Commons Governance

Community-managed forests, irrigation systems, and fisheries provide a third domain where governance satisfies Buchanan's criteria and generates externalities beyond the governing community.[31] Elinor Ostrom's research documented how local communities develop monitoring, sanctioning, and conflict-resolution mechanisms to manage common-pool resources — governance apparatus that is excludable (non-contributors face graduated sanctions up to exclusion), congestible (governance quality degrades as group size exceeds monitoring capacity), voluntary within the community context, and self-financing through community labor and contributions.[32]

The externality to non-members is environmental. Ashwini Chhatre and Arun Agrawal studied eighty forest commons across ten countries and found that forests managed by larger groups of local users stored significantly more carbon than those under government management.[33] Carbon sequestration is a textbook global positive externality — the governance of local forest commons produces climate benefits for the entire planet, well beyond the governing community. Nepal's community forestry program provides a second data point at national scale: approximately 22,000 Community Forest User Groups managing roughly 2.2 million hectares of forest have contributed to an increase in Nepal's forest cover from approximately 29% in the 1990s to roughly 44% by 2016, with documented downstream bene-

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[28] *See* Mahoney, *supra* note 19, at 1468–73 (arguing that exchange rules against fraud and manipulation produce market-wide benefits). The CFA Institute has documented how SRO rules generate "heightened public trust" benefiting all market participants, not only members.

[29] *Id.* at 1472.

[30] Silver v. New York Stock Exch., 373 U.S. 341, 349 (1963). *Silver* is analyzed in detail in Part IV as the foundational case for calibrated deference to private governance.

[31] Elinor Ostrom, Governing the Commons: The Evolution of Institutions for Collective Action (1990) (establishing the empirical and theoretical foundations for commons governance); Elinor Ostrom, *Beyond Markets and States: Polycentric Governance of Complex Economic Systems*, 100 Am. Econ. Rev. 641, 641–72 (2010) (Nobel Prize lecture synthesizing the case for polycentric governance).

[32] Ostrom, *Beyond Markets and States*, *supra* note 25, at 653–55 (describing Design Principles for successful commons governance, including clear boundaries, graduated sanctions, monitoring, and conflict-resolution mechanisms). Ostrom's Design Principle #8 explicitly addresses the relationship between local governance and larger-scale institutions, acknowledging that commons governance generates effects requiring coordination beyond the community — an implicit recognition of the externality this Article makes explicit.

[33] Ashwini Chhatre & Arun Agrawal, *Trade-offs and Synergies Between Carbon Storage and Livelihood Benefits from Forest Commons*, 106 PNAS 17667, 17667–70 (2009).

fits including reduced soil erosion and improved water quality for non-member communities.[34] Community irrigation governance in systems like Valencia's Tribunal de las Aguas preserves downstream water quality for non-members who take no part in the upstream governance decisions.[35] These externalities are not incidental byproducts. Their magnitude tracks governance quality: better-monitored forests store more carbon and deliver cleaner water downstream, because the governance mechanism (graduated sanctions, monitoring, conflict resolution) determines how effectively the resource is managed.

Macroeconomic Evidence

The three domains examined above demonstrate the externality mechanism at institutional levels where governance mechanisms can be observed and documented. Broader empirical support emerges from macroeconomic evidence. La Porta, Lopez-de-Silanes, Shleifer, and Vishny's *Law and Finance* (106 J. Pol. Econ. 1113 (1998)) documented across ninety-nine countries that the strength of investor protection law and the quality of law enforcement explain substantial variation in stock market development, debt markets, and economic growth — a cross-country finding confirming what the case studies show at institutional scale. Optionally, Acemoglu, Johnson, and Robinson's *Colonial Origins of Comparative Development* (91 Am. Econ. Rev. 1369 (2001)) demonstrates that institutions determining the quality of governance (extractive vs. inclusive institutions) predict divergent economic outcomes across regions with identical geographies, natural resources, and disease environments. What the three case studies demonstrate at the level of specific governance mechanisms — that institutional quality tracks externality magnitude — cross-country evidence confirms at the macroeconomic level: societies that maintain higher-quality governance institutions experience higher growth, broader financial development, and greater stability. The governance-as-club-good framework explains this pattern: governance generates positive externalities, and institutional arrangements that protect governance quality (through property-rule protection, enforceable rules, and credible ostracism) therefore sustain the economic growth that those externalities enable.

The Novel Classification

Prior scholars have applied club theory to governance settings, but each stopped at the same analytical boundary. Janet Landa characterized the ethnically homogeneous middleman group as "a club-like structural arrangement, an alternative to contract law and to the vertically integrated firm" — with contract enforcement as the output the club-like group provides, not governance itself as the good within Buchanan's typology.[36] Landa's framework

[34] Nepal Department of Forests, Community Forestry Statistics (2016). The causal attribution requires hedging: forest cover increases reflect multiple factors including government policy and demographic change, not community governance alone. The point is that community governance is a significant contributing factor and that the environmental benefits — carbon sequestration, watershed protection, biodiversity — flow to non-members of the Community Forest User Groups.

[35] Ostrom, Governing the Commons, *supra* note 25, at 69–82 (documenting the Valencian irrigation system's 500-year governance record).

[36] Landa, *supra* note 14, at 361.

internalizes externalities within the group: "once the code of ethics emerges in a Chinese middleman economy, all externalities are internalized."[37] Benefits flow to insiders. Outsiders are simply excluded.

Edward Stringham titled a chapter of his 2015 book "Governance as a Club Good," the closest prior use of this Article's central phrase.[38] But Stringham's project is libertarian political philosophy, not welfare economics. He argues that "governance can be analyzed as a club good in which private provision of rules is already prevalent" and that "private governance could be more prevalent and could substitute for government."[39] His analysis treats governance as a product that private parties already supply — a descriptive observation about institutional prevalence — without placing governance in Buchanan's formal framework, without modeling externalities to non-members, and without analyzing the welfare consequences of governance degradation. Stringham does not discuss judicial deference.

L. Lynne Kiesling's recent work integrates Buchanan's club theory with Ostrom's common-pool resource framework, arguing that Regional Transmission Organizations "transform a reliability commons into a rule-defined club."[40] Her analysis is domain-specific (electricity grid governance) and identifies a problem — the "non-replicable club" where physical network constraints prevent exit and thus disable the competitive discipline that normally constrains clubs — that is directly relevant to this Article's analysis of when deference should be reduced.[41] Kiesling models the governance institution as a club. She does not model governance as a club good that generates externalities to non-members.

Asher Prakash and Matthew Potoski modeled voluntary environmental programs as clubs that provide reputational club goods — the credible signal of environmental stewardship that members share.[42] The club good in their framework is the brand, not the governance mechanism (monitoring, enforcement, certification) that maintains the brand's credibility. Mark Koyama documented prosecution associations in Industrial Revolution England that bundled a private good (mutual insurance for members) with a public good (deterrence of crime benefiting the entire community), coming closest to this Article's externality claim in a specific historical domain.[43] Peter Leeson argued that governance should be organized through clubs because clubs have residual claimants and face competitive pressure — a

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[37] *Id.* at 357.

[38] Stringham, *supra* note 6, at 21–36.

[39] *Id.* at 36.

[40] Kiesling, *supra* note 6.

[41] *Id.* (arguing that when clubs cannot be replicated, the exclusion rules that maintain governance quality can harden into barriers to innovation — a "pacing problem" that Ostrom's adaptive governance principles can address). This Article takes up Kiesling's non-replicability insight in Part IV, where it informs the calibration of judicial deference.

[42] Asher Prakash & Matthew Potoski, *The Voluntary Environmentalists: Green Clubs, ISO 14001, and Voluntary Environmental Regulations* (2006); Asher Prakash & Matthew Potoski, *Collective Action Through Voluntary Environmental Programs: A Club Theory Perspective*, 37 POL'Y STUD. J. 773 (2009).

[43] Koyama, *supra* note 6, at 95–96 ("Consistent with the reasoning of Demsetz (1970), I find that prosecution associations were economic clubs that bundled the private good of insurance with the public good of deterrence."). Koyama's associations illustrate this Article's thesis in microcosm, but his contribution is historical and descriptive rather than theoretical — he does not generalize the observation into a framework with normative implications for courts.

normative argument about institutional design, not a classificatory claim about the goods typology.[44]

The persistent pattern across six decades of scholarship is this: every author treats governance as the mechanism that produces club goods, or treats governance institutions as clubs that provide goods to members. Nobody classifies the governance mechanism itself — the monitoring, arbitration, and enforcement apparatus — within the goods typology. Collapsing this distinction is not merely a relabeling. Once governance is classified as a club good with positive externalities, three analytical consequences follow that none of the predecessor frameworks produced. First, governance becomes subject to Buchanan's optimization conditions, which predict that it will be provided at less than the socially optimal level when externalities are not internalized. Second, governance becomes subject to Olson's free-rider prediction: if excludability is lost, rational members will defect from governance obligations, and quality will degrade.[45] Third, governance becomes subject to Pigouvian subsidy logic: because it generates positive externalities, the market will undersupply it, and legal doctrines that reduce its production costs function as corrective subsidies.[46] These three consequences — undersupply, fragility, and the subsidy rationale — are the subjects of Parts II and III.

The Compound Welfare Loss

When courts displace the ostracism mechanism that makes governance excludable, two welfare losses occur simultaneously. The internal governance good degrades as free-riding replaces cooperation — Mancur Olson's standard prediction for any collective good that loses excludability.[47] At the same time, the positive externalities that governance generated for non-members disappear, because those externalities were proportional to governance quality. This compound effect — compound because two distinct losses flow from the same event — has no precedent in the formal literature. Scholars have modeled the undersupply of public goods, the congestion of club goods, and the positive externalities of various institutional arrangements. Nobody has modeled the welfare consequences of converting a club good with positive externalities into an undersupplied public good by stripping away its excludability — the specific mechanism through which judicial displacement of governance destroys value. This Part develops the compound welfare loss and shows that the external component dominates the internal one.

Internal Degradation

The internal loss follows directly from Olson. Governance quality depends on member cooperation: compliance with rules, participation in monitoring, acceptance of arbitration

[44] Peter T. Leeson, *Government, Clubs, and Constitutions*, 80 J. ECON. BEHAV. & ORG. 301 (2011).

[45] Mancur Olson, The Logic of Collective Action: Public Goods and the Theory of Groups 53–65 (1965).

[46] A.C. Pigou, THE ECONOMICS OF WELFARE (1920); William J. Baumol & Wallace E. Oates, THE THEORY OF ENVIRONMENTAL POLICY 21–35 (1975). Part III develops this point at length, recharacterizing deference doctrines as implicit Pigouvian subsidies.

[47] Olson, *supra* note 39, at 53–65.

outcomes, and willingness to bear the costs of enforcement.[48] When members can defect from these obligations without facing credible exclusion, rational self-interest predicts that they will. A diamond trader who knows that courts will reverse any expulsion decision has diminished incentive to comply with DDC arbitration awards. A broker-dealer that knows FINRA's disciplinary sanctions will be overturned on judicial review has diminished incentive to maintain compliance systems beyond the minimum required to survive litigation. The cooperation rate falls, governance quality declines, and the club good degrades toward the undersupplied equilibrium that characterizes public goods.[49]

This result is not controversial. It is Olson applied to a specific institutional setting. The free-riding that concerns Olson here is not the beneficial consumption of governance externalities by non-members — which is the positive spillover Part I documented — but the destructive defection of members who stop cooperating because they can no longer be excluded for doing so. What has not been recognized is the second, simultaneous loss.

The Vanishing Spillovers

The positive externalities that governance generates for non-members are proportional to governance quality. When the DDC's governance system functioned effectively, downstream buyers benefited from reduced fraud rates throughout the diamond supply chain. When exchange self-regulation maintains market integrity, all investors benefit from improved price discovery and reduced manipulation. When commons governance sustains environmental quality, non-members of the governing community benefit from carbon sequestration, clean water, and ecosystem stability. In each case, the externality is a function of governance quality — not a fixed endowment that persists regardless of institutional performance.

When governance quality degrades through the internal mechanism Olson predicts, the externalities degrade with it. Fraud rates rise in the diamond supply chain, harming downstream buyers. Market integrity declines, harming all investors. Environmental quality deteriorates, harming non-members of the commons community. The external loss compounds the internal one: the club good's members suffer from degraded governance, and non-members who previously received spillover benefits lose those benefits as well.

The external loss is larger than the internal loss when non-members outnumber members — which they typically do by orders of magnitude. The DDC has approximately 1,800 members; the downstream diamond supply chain serves millions of retailers and hundreds of

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[48] *See* David Hirshleifer & Eric Rasmusen, *Cooperation in a Repeated Prisoners' Dilemma with Ostracism*, 12 J. ECON. BEHAV. & ORG. 87, 87–106 (1989) (modeling how the threat of ostracism sustains cooperation in repeated games and showing that cooperation collapses when the credibility of ostracism is undermined).

[49] The degradation path is not necessarily from club good to pure public good. Because governance involves both diminished excludability and congestion (finite enforcement resources shared among more free-riders), the degraded state may more precisely be a common-pool resource — a good that is rivalrous but nonexcludable. *See* Ostrom, Governing the Commons, *supra* note 25, at 30–33 (defining common-pool resources). The welfare implications are similar: undersupply, overuse of the enforcement mechanism by those who do participate, and eventual collapse. The distinction between degradation to public good and degradation to common-pool resource is analytically precise but does not change the direction of the welfare prediction.

millions of consumers.[50] FINRA oversees approximately 3,400 broker-dealer firms and 620,000 registered representatives; the U.S. equity market serves tens of millions of individual investors and trillions of dollars in institutional capital.[51] Any given commons community numbers in the hundreds or thousands; the beneficiaries of carbon sequestration and watershed protection encompass the global population. Because each unit of governance quality generates spillover benefits to every non-member, a marginal reduction in governance quality produces a small per-member internal loss and a large aggregate external loss — the product of a small per-non-member effect multiplied by a much larger non-member population.[52]

The compound welfare loss differs from the standard Pigouvian undersupply problem in a critical respect. The standard problem is that a positive-externality good is *undersupplied* at market equilibrium — producers cannot capture the full social benefit, so they produce less than the socially optimal quantity. The compound welfare loss is worse. The good is not merely undersupplied but *destroyed*, because the enforcement mechanism that maintained it is disabled. Undersupply leaves a diminished version of the good in place; destruction eliminates it. A swimming pool with too-high membership fees is undersupplied — some people who would benefit from access are excluded. A swimming pool whose gate has been removed is destroyed as a club good — nonpayers flood in, the pool becomes congested, maintenance funding disappears, and the asset degrades to the point of unusability. Governance deference is the gate.

The Counterfactual

The compound welfare loss is a theoretical prediction. Three episodes provide empirical traction.

Richman's study of the DDC's decline is the most detailed account of governance degradation producing spillover harm.[53] The trust-based exchange system that Bernstein documented eroded under pressure from globalization, the entry of Indian diamond cutters who operated outside the DDC's ethnic enforcement infrastructure, the growth of online retail that disrupted traditional distribution channels, and generational changes that weakened communal bonds.[54] As governance quality declined, the costs spread beyond the DDC's

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[50] *See* Richman, *supra* note 3, at 250–55 (describing the DDC's membership and the diamond industry's downstream structure).

[51] FINRA, 2023 Annual Report (reporting membership and registered representative totals). Total U.S. equity market capitalization exceeded $50 trillion in 2024.

[52] A formal model extending the Hirshleifer-Rasmusen ostracism framework to incorporate court intervention probability confirms this mechanism. *See* Appendix. The model shows that as the probability of judicial override increases above a threshold, cooperation collapses and governance quality degrades. Because non-members outnumber members and cannot substitute alternative governance, the aggregate external welfare loss exceeds the aggregate internal loss. The specific ratio is parameter-dependent — it varies with the relative size of the member and non-member populations, the marginal externality per unit of governance quality, and the shape of the cooperation-collapse function — but the directional finding is robust: external losses dominate internal losses across a wide range of plausible parameterizations.

[53] Richman, *supra* note 3, at 264–76.

[54] *Id.* at 257–64 (documenting five factors in the erosion of diamond-industry cooperation: globalization of cutting centers, entry of new ethnic groups into the trade, development of online retail, declining margins, and generational shifts in communal identity).

membership. Banks reduced credit to diamond dealers, increasing financing costs throughout the industry. Retailers investing in branded jewelry became vulnerable to misrepresentation of synthetic diamonds — a fraud risk that the DDC's governance had previously suppressed. Vertical integration replaced trust-based exchange as the dominant transactional form, eliminating the low-cost governance mechanism and substituting a costlier institutional structure that served members' narrow interests but generated no comparable externalities for non-members.[55]

The collapse of FTX in November 2022 illustrates the magnitude of the externality that governance prevents, even though its causal mechanism differs from the thesis. FTX operated as a centralized cryptocurrency exchange with a governance system that set trading rules and managed custody of customer assets.[56] FTX's governance did not degrade through judicial intervention; it was fraudulent from inception. But the scale of spillover harm demonstrates why the externality matters: customer losses exceeded $8 billion; contagion bankrupted BlockFi, Genesis Global, and multiple hedge funds; institutional investors including the Ontario Teachers' Pension Plan and Sequoia Capital suffered hundreds of millions in losses; and the Solana ecosystem lost roughly 60% of its token value, harming projects with no direct FTX relationship.[57] When governance is absent or fraudulent, the external costs dwarf the internal ones — exactly the asymmetry the framework predicts would result from judicial degradation of functioning governance.

The overruling of *Chevron* deference in *Loper Light Enterprises v. Raimondo* provides a third case, though it is too recent for empirical measurement of governance degradation.[58] The framework predicts that removing the Pigouvian subsidy Chevron provided will shift agency resources from substantive governance to defensive litigation, narrowing interpretations and leaving regulatory gaps. Coglianese and Walters have identified a paradox consistent with this prediction: agencies have begun invoking *Loper Light* itself to justify regulatory changes *without* notice-and-comment procedures, using the removal of deference as a reason to bypass the procedural constraints that previously accompanied agency governance.[59] Whether the compound welfare loss materializes is an empirical question. That the framework generates a testable prediction for the most significant administrative law development in four decades is itself evidence of the classification's analytical utility.

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[55] *Id.* at 275. The replacement of trust-based governance with vertical integration is itself evidence of the compound welfare loss. Vertical integration serves the integrated firm's members but does not generate the fraud-reduction externality that trust-based governance produced for the entire supply chain. The shift from club good to private good eliminates the spillover.

[56] *In re* FTX Trading Ltd., Case No. 22-11068 (Bankr. D. Del.) (first-day declaration of John J. Ray III: "Never in my career have I seen such a complete failure of corporate controls.").

[57] These figures are drawn from bankruptcy filings, public company disclosures, and contemporaneous reporting. *See* Hilary J. Allen, *DeFi: Shadow Banking 2.0?*, 64 Wm. & Mary L. Rev. 919 (2023) (analyzing crypto governance failures and their systemic effects). The FTX illustration is not a controlled experiment — the collapse involved fraud and mismanagement, not judicial displacement of governance. But it demonstrates the mechanism: when private governance fails, the external costs spread far beyond the governed community.

[58] Loper Light Enters. v. Raimondo, 144 S. Ct. 2244 (2024).

[59] Cary Coglianese & Daniel E. Walters, *The Great Unsettling: Administrative Governance After Loper Light*, 77 ADMIN. L. REV. 101 (2025).

Deference as Pigouvian Subsidy

If the compound welfare loss is real, one would expect the legal system to have developed some response to it — even without a theoretical framework explaining why. Courts are not economists, and common-law judges do not read Pigou before deciding whether to review an expulsion from a trade association. But judges do observe consequences. A judge who reviews a DDC arbitration award and orders reinstatement of an expelled member observes, over repeated cases, that the bourse's enforcement authority weakens, that compliance declines, and that the fraud costs the bourse previously suppressed begin to spread through the supply chain. A judge who refuses to second-guess a FINRA disciplinary action observes that the exchange's enforcement remains credible and that the market functions with fewer regulatory interventions from the SEC. Courts that repeatedly confronted these patterns developed, over decades, a set of doctrines that share a common structure: presumptive deference to governance decisions, rebuttable under specific conditions. The business judgment rule, the FAA's presumption of arbitrability, the antitrust rule of reason, and common-law deference to voluntary associations each emerged from different doctrinal soil, justified by different rationales, in different areas of law. None was designed as an economic intervention. Yet each performs the same economic function: it reduces the cost of producing governance, partially correcting the undersupply that positive-externality theory predicts.

Standard Pigouvian theory identifies the mechanism. Goods generating positive externalities will be undersupplied at market equilibrium, because producers cannot capture the full social benefit of their output.[60] The corrective is a subsidy equal to the marginal external benefit, bringing production to the socially optimal level.[61] The intuition is straightforward: if a beekeeper's hives pollinate neighboring farms, the beekeeper will keep fewer hives than the community needs because she cannot charge the farmers for the pollination. A Pigouvian subsidy compensates the beekeeper for the external benefit, increasing production to the level that accounts for the farmers' gain. If governance is a club good that generates positive externalities — as Part I established — then governance will be undersupplied in the absence of a corrective mechanism. The formal model in the Appendix confirms this intuition and adds a structural prediction: total welfare is maximized neither at blanket deference (which permits governance abuse without check) nor at plenary review (which destroys the ostracism mechanism's credibility), but at an interior point where courts intervene in a small fraction of governance decisions. This is precisely the structure these doctrines embody — each creates a legal presumption rather than an absolute immunity, allowing judicial override under defined conditions while protecting governance production as the default. The doctrines are not Pigouvian subsidies by design. They are Pigouvian subsidies by function. This Part makes that function explicit.

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[60] A.C. Pigou, THE ECONOMICS OF WELFARE 172–203 (1920).

[61] William J. Baumol & Wallace E. Oates, THE THEORY OF ENVIRONMENTAL POLICY 21–35 (1975). The Pigouvian subsidy is the mirror image of the Pigouvian tax: where negative externalities warrant a tax to reduce production to the social optimum, positive externalities warrant a subsidy to increase production to the social optimum.

The Economic Logic

Courts do not write checks to private governance bodies. The subsidy operates indirectly, by reducing governance production costs. Undersupply, in this context, means that governing bodies invest less in governance than the social optimum — weaker monitoring, less vigorous enforcement, fewer sanctions, thinner institutional infrastructure — because they cannot charge non-members for the fraud reduction, market integrity, or environmental quality those non-members receive. Producing governance is expensive: governing bodies must invest in monitoring systems, arbitration infrastructure, enforcement capacity, and reputational capital. These investments are at risk every time a governance decision is challenged in court. Litigation costs — attorney fees, discovery, the management distraction of defending a governance decision, the uncertainty of outcome — are direct costs of governance production that are incurred even when the governance body prevails. The prospect of litigation also generates indirect costs: risk-averse governance bodies moderate their enforcement, reduce the frequency or severity of sanctions, and invest in defensive documentation rather than substantive monitoring.[62]

Deference doctrines reduce these costs by limiting the circumstances under which governance decisions can be challenged and the intensity of judicial review when challenges occur. A governance body operating under a deference regime invests in governance with greater confidence that its decisions will stand, faces lower expected litigation costs, and can allocate resources to substantive monitoring rather than defensive procedures. The subsidy is the difference between governance production costs with deference and governance production costs without it. An economist might object that cost avoidance is not the same as a direct transfer — that shielding a governance body from litigation is different from writing it a check. For the governance producer's investment decision, the distinction is immaterial. A firm deciding whether to invest in monitoring, arbitration, and enforcement capacity responds identically to a dollar of reduced litigation cost and a dollar of direct subsidy: both lower the marginal cost of governance production, increasing the quantity produced toward the social optimum. What makes the mechanism Pigouvian is not the form of the transfer

[62] *Cf.* Aurelio Gurrea-Martínez, *Re-Examining the Law and Economics of the Business Judgment Rule from a Comparative Perspective*, 18 J. CORP. L. STUD. 417 (2018) (observing that the BJR "may also create a positive externality for society: the promotion of innovation and development" — the closest prior observation that a deference doctrine generates positive externalities, though not developed into a systematic framework). The cost-reduction mechanism this Article identifies is more general: every deference doctrine reduces the expected cost of producing governance, and this cost reduction functions as a subsidy for a positive-externality good.

but the function — correcting the undersupply of a positive-externality good by reducing the private cost of producing it.[63]

Deference Doctrines Recharacterized

Four doctrines that currently lack a common theoretical foundation share this structure. Each was developed for domain-specific reasons — corporate law, arbitration policy, antitrust, associational freedom — and each is justified by its own doctrinal rationale. The governance-as-club-good framework reveals them as instances of a single economic mechanism: subsidizing the production of a positive-externality good.

The Business Judgment Rule

The business judgment rule insulates directors from personal liability for honest business decisions made on an informed basis, in good faith, and without conflicts of interest.[64] Its conventional justifications are domain-specific: reducing managerial risk aversion, preventing judicial incompetence in business decisions, avoiding hindsight bias, and providing legal certainty.[65] Each of these rationales explains why deference benefits the corporation and its shareholders. None explains why deference benefits anyone outside the firm.

The club-goods framework supplies the missing rationale. Board governance is a club good: excludable (directors can be removed, officers terminated, shareholders who challenge board authority face procedural barriers), congestible (board deliberation quality degrades with excessive outside interference), and generating positive externalities for non-shareholders — innovation, employment, economic growth, and the commercial stability that functional corporate governance contributes to the broader economy. The BJR reduces governance production costs by insulating directors from the litigation risk that would oth-

[63] The Pigouvian characterization is functional rather than formal. Courts do not calculate marginal external benefits or calibrate subsidy magnitudes. But the economic literature on implicit subsidies supports the equivalence: Stanley Surrey's foundational work on tax expenditures demonstrated that tax deductions, exemptions, and credits function as government spending by other means, with identical effects on investment incentives. *See* Stanley S. Surrey, Pathways to Tax Reform: The Concept of Tax Expenditures (1973). Legal doctrines that shield producers from liability — charitable immunity, sovereign immunity, statutory caps on damages — similarly reduce the cost of activity by eliminating litigation risk, functioning as implicit subsidies for the shielded conduct. Deference doctrines operate through the same mechanism. A formal welfare model specifying the magnitude of the implicit subsidy each deference doctrine provides, comparing it to the marginal external benefit of governance, and determining whether current deference levels approximate the social optimum is a subject for future work.

[64] *See* Aronson v. Lewis, 473 A.2d 805, 812 (Del. 1984) (establishing the BJR as a "presumption that in making a business decision the directors of a corporation acted on an informed basis, in good faith and in the honest belief that the action taken was in the best interests of the corporation").

[65] *See* Stephen M. Bainbridge, *The Business Judgment Rule as Abstention Doctrine*, 57 VAND. L. REV. 83, 108–30 (2004) (authority-preserving rationale); Frank H. Easterbrook, *Managers' Discretion and Investors' Welfare: Theories and Evidence*, 9 DEL. J. CORP. L. 540 (1984) (risk-aversion rationale).

erwise chill bold decision-making, independent judgment, and long-term investment in monitoring and compliance. It is an implicit Pigouvian subsidy for a positive-externality good.[66]

The Federal Arbitration Act

The FAA's "liberal federal policy favoring arbitration agreements" reduces the cost of maintaining private dispute resolution systems by enforcing arbitration clauses and limiting judicial review of arbitral awards.[67] Without the FAA, parties could agree to arbitrate and then litigate when the arbitral outcome proved unfavorable — free-riding on the arbitration system's investment in infrastructure, expertise, and procedural fairness while refusing to be bound by its results.

Arbitration systems are governance club goods: excludable (participation requires agreement), congestible (tribunal capacity is finite), and generating positive externalities for the judicial system and the broader commercial community — dispute resolution that reduces court congestion, develops specialized commercial norms, and provides faster, cheaper resolution that benefits all market participants who rely on the stability of commercial relationships.[68] The FAA's presumption of arbitrability is a Pigouvian subsidy that reduces arbitration production costs by eliminating the free-rider problem that would otherwise undermine investment in private dispute resolution.

The Antitrust Rule of Reason

The rule of reason reduces antitrust exposure for cooperative governance by applying a balancing test rather than per se condemnation to coordinated conduct that may enhance efficiency.[69] Without it, any governance mechanism that involves coordinated behavior — joint standard-setting, collective enforcement, membership criteria, shared monitoring — would be per se illegal under Section 1 of the Sherman Act, because all such mechanisms require agreement among competitors.

Cooperative governance generates positive externalities for the markets it regulates: quality standards reduce search costs for all buyers, not just cooperative members; collective enforcement deters fraud beyond the cooperative's membership; shared monitoring produces information that benefits regulators, investors, and consumers. The rule of reason is a

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[66] This reframing does not change the BJR's operational content — directors still receive deference for informed, good-faith, disinterested decisions. What it changes is the justification for that deference. The conventional rationale is efficiency internal to the firm: shareholders are better off when directors are protected from hindsight bias. The club-goods rationale is welfare external to the firm: society is better off because the BJR enables governance that produces spillover benefits no one else would provide at equivalent quality.

[67] Moses H. Cone Mem'l Hosp. v. Mercury Constr. Corp., 460 U.S. 1, 24 (1983); CompuCredit Corp. v. Greenwood, 565 U.S. 95, 98 (2012) (FAA "requires courts to enforce agreements to arbitrate according to their terms" unless "overridden by a contrary congressional command").

[68] Drahozal, *supra* note 56, at 585–86 (examining the "positive externalities hypothesis" and finding that the concern about lost precedent is overstated because arbitration may displace settlements rather than trials, and arbitrators develop their own body of specialized precedent).

[69] *See* Broadcast Music, Inc. v. Columbia Broad. Sys., Inc., 441 U.S. 1, 19–20 (1979) (blanket licensing integrating "sales, monitoring, and enforcement" is not per se price-fixing when it creates efficiencies individual actors could not achieve); Northwest Wholesale Stationers, 472 U.S. at 295.

Pigouvian subsidy that enables cooperative governance to exist by reducing the antitrust cost of producing it. Per se treatment is the withdrawal of that subsidy — and *AP* and *FOGA* show that withdrawal is appropriate when the governance mechanism's true purpose is competition-suppressing rather than externality-producing.[70]

Deference to Voluntary Associations

Common-law deference to voluntary associations — the principle that courts refrain from interfering in associations' internal affairs absent bad faith, procedural unfairness, or violation of the association's own rules — is the oldest and least theorized of the four doctrines.[71] It rests on freedom of association and contract principles, but these justifications explain why members should be free to form associations, not why courts should defer to associations' governance decisions once formed.

Association governance is the paradigm governance club good. Professional associations maintain ethical standards that benefit all clients of the profession, not just the association's members. Trade associations develop industry norms that reduce transaction costs for all market participants. Religious communities sustain social institutions — charity, mutual aid, moral education — whose benefits radiate beyond the congregation. Deference reduces the litigation cost of maintaining these governance systems. When *Pinsker* and *Falcone* increased judicial oversight of association membership decisions, they increased governance production costs for every association operating within those jurisdictions — costs that the externality framework predicts will reduce governance supply at the margin.[72]

The four doctrines share a common structure despite their doctrinal diversity. Each reduces the expected cost of producing governance, enabling governance bodies to invest in the monitoring, enforcement, and institutional infrastructure that generates positive externalities. Each is justified on domain-specific grounds that do not reference externalities. And each produces the welfare consequence that Pigouvian theory predicts: by subsidizing a positive-externality good, it brings production closer to the social optimum than unsubsidized production would achieve. The governance-as-club-good framework does not argue that these doctrines were consciously designed as Pigouvian subsidies. It argues that they func-

[70] The cartel cases thus fit within the framework rather than undermining it. Per se treatment is not the absence of a Pigouvian subsidy; it is the recognition that the activity in question generates negative externalities (reduced competition, higher prices, restricted output) rather than positive ones. The framework's proposed standard — rebuttable presumption of validity, overcome by showing anticompetitive purpose — operationalizes the distinction between positive-externality governance that warrants the subsidy and negative-externality cartelization that does not.

[71] *See* Auto. Elec. Serv. Corp. v. Ass'n of Auto. Aftermarket Distribs., 747 F. Supp. 1483, 1489 (E.D.N.Y. 1990) ("It is the proper policy of the Court to refrain from unnecessarily interfering in the internal affairs of a private, not-for-profit trade association . . . . Absent bad faith or bias, this Court would not intervene."); Pinsker v. Pac. Coast Soc'y of Orthodontists, 526 P.2d 253, 256 (Cal. 1974) ("Courts should not attempt to fix a rigid procedure that must invariably be observed. Instead, the associations themselves should retain the initial and primary responsibility for devising a method.").

[72] *See* Falcone v. Middlesex Cnty. Med. Soc'y, 170 A.2d 791 (N.J. 1961). The framework does not argue that *Pinsker* and *Falcone* were wrongly decided — both involved monopolistic associations where the exit mechanism that disciplines club governance was absent, and both imposed procedural floors rather than substantive review. The point is that the increased governance production costs those decisions impose are real, and the externality framework explains why courts should be parsimonious in expanding them.

tion as such, and that recognizing this function provides a unified rationale for calibrating deference. Whether this pattern extends beyond private governance to public agency governance is the question the next subsection takes up.

Stress Test: Chevron Deference and Agency Governance

Administrative agencies are not Buchanan clubs. Citizens do not voluntarily join the EPA's jurisdiction, and agency budgets come from taxation rather than member dues. Applying the club-goods framework to agency governance requires a structural adjustment that the previous four doctrines did not need. The adjustment is this: the "club" in the administrative context is not the agency but the regulated industry. Firms voluntarily enter regulated sectors — energy, finance, pharmaceuticals, telecommunications — and in doing so subject themselves to the agency's governance, just as a broker-dealer voluntarily enters the securities industry and thereby subjects itself to FINRA.[73] The agency is the governance mechanism for the industry club, not the club itself. This reconceptualization frames Chevron deference and its overruling as a stress test of whether the club-good framework's predictions hold in the public governance domain where voluntary membership is contested and institutional variety is greatest.

Chevron deference reduced the cost of agency governance by allowing agencies to interpret ambiguous statutes without the constant risk that courts would substitute their own judgment. Agencies could invest in developing expertise, promulgating detailed regulations, and building consistent enforcement programs with confidence that their reasonable interpretations would survive judicial review. The subsidy operated through two channels: reduced litigation costs (agencies did not need to defend every interpretive choice de novo) and reduced uncertainty costs (regulated parties could rely on agency interpretations, reducing compliance costs and enabling long-term planning). The positive externalities of agency governance extend well beyond the regulated industry. Specialized regulation produces environmental protection, financial stability, consumer safety, and public health benefits that accrue to the general public — non-members of the industry club who bear none of the compliance costs. These externalities depended on the governance quality that Chevron deference enabled.

When the Supreme Court overruled Chevron in *Loper Light Enterprises v. Raimondo*, it removed the subsidy.[74] The compound welfare loss framework predicts that removing Chevron deference will degrade agency governance quality and reduce the positive externalities it generates. Agencies facing de novo judicial review of every statutory interpretation will shift resources from substantive governance to defensive litigation. Risk-averse agencies will narrow their interpretations, leaving regulatory gaps that no other institution will fill. Coglianese

[73] The voluntariness of industry entry distinguishes this application from the objection that all citizens are involuntarily subject to regulation. The relevant population is not all citizens but the firms that chose to operate in a regulated domain. Their entry into the domain is voluntary in the same sense as a diamond trader's entry into the DDC or a broker-dealer's entry into the securities industry. The positive externalities of agency governance — environmental protection, financial stability, consumer safety — flow to the non-member public, just as the DDC's fraud reduction flows to downstream consumers.

[74] Loper Light Enters. v. Raimondo, 144 S. Ct. 2244, 2261–73 (2024) (holding that courts must exercise independent judgment under APA § 706 rather than deferring to agency statutory interpretations).

and Walters have identified a pattern consistent with this prediction: agencies invoking *Loper Light* itself to justify regulatory changes *without* notice-and-comment procedures, using the removal of deference as a reason to bypass the procedural constraints that previously accompanied agency governance.[75] If this pattern holds, the overruling of Chevron will have degraded agency governance quality while simultaneously weakening the procedural safeguards that legitimized it — a compound loss of exactly the kind the framework predicts. Whether this prediction holds is an empirical question that future research can test, making *Loper Light*'s governance effects the next critical test of the framework's predictive power.

Calibrated Deference

If governance is a club good that generates positive externalities, then courts that displace the governance mechanism destroy value not only for members but for non-members who benefit from its spillovers. Parts II and III develop this claim and its doctrinal implications. Before reaching those arguments, however, the thesis must survive four serious objections. Private governance mechanisms have functioned as cartels, enforced discriminatory exclusion, and operated without the transparency and error correction that judicial review provides. Courts are not wrong to be skeptical. The question is whether skepticism should be the default or whether a more calibrated approach — presumptive deference overcome by specific showings — better accounts for the welfare consequences of displacing governance. This Part takes each objection at full strength before proposing a standard.

The Cartel Objection

The most doctrinally developed challenge to governance deference is that private governance mechanisms mask anticompetitive conduct. Three Supreme Court decisions establish the point with unmistakable force.

The Associated Press maintained bylaws that restricted membership and prohibited members from selling news to nonmembers — governance rules that, in form, resembled the quality-control and exclusivity provisions of any trade association.[76] The Court found a per se Sherman Act violation. "Arrangements or combinations designed to stifle competition cannot be immunized by adopting a membership device accomplishing that purpose."[77] The Fashion Originators' Guild of America operated an even more elaborate governance apparatus: a design registration system, inspection and auditing procedures, tribunals, and graduated fines — institutional infrastructure that, judged by its formal attributes alone, was indistinguishable from the DDC's private legal system.[78] The Court struck it down without inquiring into the reasonableness of the Guild's methods. "The reasonableness of the methods pursued by the combination to accomplish its unlawful object is no more material than

[75] Coglianese & Walters, *supra* note 53, at 130–40.

[76] Associated Press v. United States, 326 U.S. 1 (1945).

[77] *Id.* at 4.

[78] Fashion Originators' Guild of Am., Inc. v. FTC, 312 U.S. 457, 461–63 (1941) (describing the Guild's registration, inspection, and enforcement apparatus).

would be the reasonableness of the prices fixed by unlawful combination."[79] And in *Silver v. New York Stock Exchange*, the Court held that the NYSE's collective termination of a non-member broker-dealer's wire connections violated the Sherman Act because the exchange provided no notice, no hearing, and no stated basis for its action — even though the Securities Exchange Act authorized exchange self-regulation.[80]

These cases pose a genuine problem for the governance-as-club-good thesis. If the analytical framework cannot distinguish the AP's membership bylaws from the DDC's, or FOGA's tribunals from FINRA's disciplinary process, it provides no operational guidance to courts. The objection is not that cartels exist — everyone knows that — but that the formal attributes of governance mechanisms (rules, exclusion, enforcement, ostracism) are identical regardless of whether the mechanism serves governance purposes or anticompetitive ones.

The framework can make this distinction, but the distinction operates on purpose and effect, not institutional form. Governance-serving exclusion targets members who accepted governance obligations and then violated them: the diamond trader who cheated on a transaction, the broker-dealer who engaged in fraudulent trading, the commons user who overharvested. The excluded party was a participant in the governance system whose defection threatened the club good. Competition-suppressing exclusion targets parties who never sought to participate in governance but merely competed in the same market: the newspaper that wanted to publish AP-sourced stories, the retailer that sold garments the Guild had not registered, the broker-dealer that competed with NYSE members for order flow. The excluded party was not a defector from governance but a competitor whose presence was commercially inconvenient.

This distinction tracks the rule of reason as the Supreme Court already applies it. In *Northwest Wholesale Stationers*, the Court held that expulsion from a purchasing cooperative was not per se illegal absent a showing of market power or exclusive access to essential facilities, precisely because cooperatives are "designed to increase economic efficiency and render markets more, rather than less, competitive."[81] The governance-as-club-good framework provides the economic rationale for that holding: cooperative governance is a positive-externality good, and expulsion decisions that maintain governance quality are presumptively welfare-enhancing. The presumption is overcome when the challenger demonstrates that exclusion targeted competitive conduct rather than governance violations — which is exactly what the AP, FOGA, and *Silver* plaintiffs showed.

The framework thus changes the *burden*, not the test. Under the current rule of reason, courts evaluate the competitive effects of governance decisions without any presumptive direction. Under the proposed framework, governance exclusion decisions carry a rebuttable presumption of validity because they maintain a positive-externality good. The challenger must demonstrate anticompetitive purpose — a showing that shifts the analysis from defer-

[79] *Id.* at 468.

[80] Silver v. New York Stock Exch., 373 U.S. 341, 347–49 (1963).

[81] Northwest Wholesale Stationers, Inc. v. Pac. Stationery & Printing Co., 472 U.S. 284, 295 (1985).

ence to scrutiny. This is not a novel doctrinal innovation; it is an economic justification for the structure that *Northwest Wholesale* already implies.[82]

The Discrimination Objection

The most morally serious challenge to governance deference is that the most effective private governance systems in the empirical record — diamond bourses, Maghribi trader coalitions, ethnic Chinese middleman groups — rely on ethnic or religious homogeneity as their core enforcement mechanism.[83] Deference to exclusion decisions necessarily risks deference to exclusion along protected characteristics.

Two Supreme Court decisions frame the doctrinal collision. In *Roberts v. United States Jaycees*, the Court held that Minnesota's anti-discrimination statute could compel the Jaycees to accept women as regular members without violating freedom of association, because the state's compelling interest in eradicating gender discrimination outweighed the burden on associational freedom — particularly where the Jaycees were large, nonselective, and had produced no evidence that women's admission would impede the organization's protected activities.[84] In *Boy Scouts of America v. Dale*, the Court reached the opposite result, holding that New Jersey's public accommodations law could not compel the Boy Scouts to readmit a gay assistant scoutmaster because forced membership would "significantly burden" the organization's expressive message.[85] The Court deferred to the Scouts' own characterization of its values: "We are not, as we must not be, guided by our views of whether the Boy Scouts' teachings with respect to homosexual conduct are right or wrong."[86]

The governance-as-club-good framework does not defend ethnic exclusion. It draws a distinction that *Roberts* and *Dale* together support: exclusion based on governance-relevant conduct warrants deference; exclusion based on ascriptive characteristics does not. When the DDC expels a member for cheating on a diamond transaction, the exclusion criterion is governance-relevant — the member violated rules that maintain the club good. When a medical society excludes a qualified physician because of his ethnicity, the exclusion criterion is ascriptive — it bears no relationship to governance function.[87] The fact that ethnic homogeneity *happens to facilitate* governance enforcement, by reducing monitoring costs and increasing

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[82] A bright-line indicator reinforces the distinction: exclusion of parties who previously accepted and then violated governance rules is presumptively governance-serving; exclusion of parties who never sought membership but merely competed with members is presumptively anticompetitive. Courts already employ this distinction implicitly. Making it explicit, and grounding it in club-goods economics, gives the analysis a theoretical foundation it currently lacks.

[83] Landa, *supra* note 30, at 349–56 (describing how ethnic identity markers — kinship, clan names, religious observance — function as low-cost screening devices that enable trust-based exchange); Avner Greif, *Contract Enforceability and Economic Institutions in Early Trade: The Maghribi Traders' Coalition*, 83 AM. ECON. REV. 525, 528–32 (1993) (documenting how the Maghribi traders' ethnic network sustained cooperation through multilateral punishment strategies).

[84] Roberts v. United States Jaycees, 468 U.S. 609, 623–29 (1984).

[85] Boy Scouts of Am. v. Dale, 530 U.S. 640, 655–56 (2000).

[86] *Id.* at 661.

[87] *See* Falcone v. Middlesex Cnty. Med. Soc'y, 170 A.2d 791, 795–96 (N.J. 1961) (holding that a medical society with virtual monopoly over hospital access could not arbitrarily exclude qualified physicians; "a monopoly raises duties which may be enforced against the possessors of the monopoly").

social sanctions, does not mean it is *necessary* for governance. Bernstein documented the DDC's complete private legal system operating across multiple ethnic communities within the diamond trade; the system's enforcement power derived from commercial reputation and WFDB-wide ostracism, not from ethnic solidarity alone.[88]

Roberts is correctly decided under this framework. The Jaycees' gender exclusion was not tied to governance function — the organization produced no evidence that women's membership would degrade the quality of its civic programming, leadership training, or community service — and gender is an ascriptive characteristic unrelated to the rules the organization enforces. Deference was appropriately denied. *Dale* is also supportable under this framework, though for a narrower reason than the Court articulated: the Boy Scouts' exclusion was tied to its stated expressive mission, and the Court deferred to the organization's characterization of how forced membership would affect that mission — a form of calibrated deference to governance substance, not a blanket endorsement of any exclusion criterion the organization might adopt.[89]

Non-discrimination principles represent a competing positive-externality good. Dignity, equal citizenship, and equal market access generate social benefits that extend far beyond the individuals directly protected — they sustain the legitimacy of markets and institutions for all participants.[90] When the governance club good and the anti-discrimination good collide, the anti-discrimination good prevails, because its externalities are broader and its moral foundation is stronger. The framework handles this collision not by abandoning deference but by specifying that the rebuttable presumption of validity does not extend to exclusion criteria based on protected characteristics.

Judicial Externalities and the Ostrom Objection

Two additional objections challenge the framework from different directions. The first argues that judicial review itself generates positive externalities — precedent, transparency, error correction — that blanket deference would destroy.[91] The second, drawing on Elinor Ostrom's research, argues that governance communities sustain collective goods without

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[88] Bernstein, *supra* note 12, at 130–38. Lisa Bernstein and Brad Peterson have shown more recently that contract governance regimes can scaffold inter-firm trust without pre-existing community ties. *See* Lisa Bernstein & Brad Peterson, *Managerial Contracting: A Preliminary Study*, 14 J. LEGAL ANALYSIS 176 (2022).

[89] The tension between *Roberts* and *Dale* does not undermine the framework; it illustrates why calibration is necessary. The relevant question is whether the exclusion criterion tracks governance function, not whether the organization labels itself "expressive." A professional association that excludes members for violating ethical rules warrants deference on the substance of the violation finding; the same association excluding applicants by race does not, regardless of how it characterizes its mission.

[90] *See* Roberts, 468 U.S. at 625 ("Acts of invidious discrimination in the distribution of publicly available goods, services, and other advantages cause unique evils that government has a compelling interest to prevent — wholly apart from the point of view such conduct may transmit.").

[91] *See* Owen M. Fiss, *Against Settlement*, 93 YALE L.J. 1073, 1085–89 (1984) (arguing that adjudication produces public goods — authoritative interpretations of law — that settlement and private ordering cannot replicate).

absolute excludability, undermining the claim that excludability is essential to governance quality.[92]

The judicial-externality objection is real but asymmetric. Governance externalities are *destroyed* when courts displace the ostracism mechanism, because governance quality depends on the credible threat of exclusion — a credibility that is binary in its effect on member behavior even if excludability itself is spectral. If members know that courts will reverse expulsion decisions, the expected cost of defection falls, and cooperation unravels.[93] Judicial externalities, by contrast, are merely *foregone* under deference — they are not destroyed but can be generated through other cases. The judicial system is robust; precedent can be produced by adjudicating cases that do not involve governance exclusion decisions. The governance system is fragile; once the ostracism mechanism is disabled, there is no substitute institution that can produce the same externalities at equivalent cost.[94] Drahozal reached a parallel conclusion in the arbitration context, finding that the concern about lost precedent from private dispute resolution is overstated because arbitration may displace settlements rather than trials, and because arbitrators develop their own body of precedent within specialized industries.[95]

The Ostrom objection requires absorption rather than resistance. Ostrom demonstrated that communities sustain governance through graduated sanctions, reputation networks, and social pressure — mechanisms that maintain cooperation without the bright-line exclusion that diamond bourses or stock exchanges employ.[96] These are excludability mechanisms, but softer ones, operating on a spectrum rather than as an on-off switch. The relevant question is not whether governance requires *absolute* excludability but whether judicial intervention pushes excludability below the *threshold* needed to sustain cooperation in a given institutional context. Small, tight-knit commons communities operate above this threshold through social mechanisms because members interact repeatedly, information travels quickly, and reputation costs are high. Larger, more impersonal governance systems require formal mechanisms because the social infrastructure is thinner.[97]

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[92] *See* Ostrom, *Beyond Markets and States*, *supra* note 25, at 653–55 (documenting communities that sustain commons governance through graduated sanctions, reputation, and social pressure rather than absolute exclusion).

[93] This is the mechanism the game-theoretic model in the Appendix formalizes. *See* Appendix (extending the Hirshleifer-Rasmusen ostracism framework to incorporate court intervention probability).

[94] The fragility asymmetry is not merely theoretical. When Richman documented the DDC's decline, the trust-based exchange system was not replaced by a superior governance mechanism — it was replaced by vertical integration, a costlier institutional form that eliminated the externality-generating mechanism entirely. Richman, *supra* note 3, at 275.

[95] Christopher R. Drahozal, *Privatizing Civil Justice: Commercial Arbitration and the Civil Justice System*, 9 KAN. J.L. & PUB. POL'Y 578, 585–86 (2000).

[96] Ostrom, Governing the Commons, *supra* note 25, at 90–102.

[97] Kiesling's "non-replicable club" concept identifies where the Ostrom objection has the most force. When the governed resource cannot be replicated — a transmission grid, a natural monopoly, a single regional hospital — members cannot exit and form competing governance systems. In these settings, the exit mechanism that disciplines Buchanan clubs is absent, and the case for judicial oversight is strongest. Kiesling, *supra* note 6. The calibrated deference framework accounts for this: non-replicable governance systems warrant lower deference precisely because their members cannot discipline governance failures through exit.

One further objection warrants brief address. Louis Kaplow and Steven Shavell demonstrated that liability rules (judicial intervention with compensation) can be more efficient than property rules (absolute deference) when courts can reasonably assess harm.[98] Governance is a context where their own framework favors property-rule protection. The value of governance to the club is difficult for courts to assess because it is intangible — composed of reputation, trust, monitoring capacity, and enforcement credibility, none of which has a market price. The governance mechanism is destroyed rather than merely diminished by intervention — ostracism credibility operates as a threshold function: below a critical probability of judicial override, the threat disciplines cooperation; above that threshold, it does not, and cooperation collapses nonlinearly. And the market for governance is thin — there is no easy substitute when a particular governance system is disabled. These are precisely the conditions under which Calabresi and Melamed concluded that property rules dominate.[99]

The Proposed Standard

The framework supports a standard of calibrated deference that mirrors structures courts already employ but provides an economic rationale they currently lack. Courts reviewing governance exclusion decisions should apply a rebuttable presumption of validity: the decision stands unless the challenger demonstrates one of three rebuttal conditions.

First, *anticompetitive purpose*. The exclusion served to suppress competition rather than maintain governance standards. The burden falls on the challenger to show that the excluded party was targeted for competitive conduct, not governance violations. This tracks the rule of reason as applied in *Northwest Wholesale* and distinguishes governance-serving exclusion (*Silver*'s process failure notwithstanding, the NYSE's self-regulatory authority was not itself condemned) from competition-suppressing exclusion (*AP*, *FOGA*).

Second, *discriminatory criteria*. The membership or exclusion criteria track ascriptive characteristics rather than governance-relevant conduct. The burden falls on the challenger to show that the criteria are pretextual — that they serve to exclude on the basis of identity rather than to maintain governance quality. This tracks anti-discrimination law as applied in *Roberts* and *Falcone* and preserves the governance deference recognized in *Dale* for exclusion tied to legitimate organizational function.

Third, *absence of process proportionate to the governance mechanism*. The governing body excluded a member without any process consistent with the mechanism's own institutional character. For formal governance bodies — stock exchanges, professional associations, trade organizations with written bylaws — this means *Silver*'s requirements: notice, an opportunity to respond, and a stated basis for the decision. Congress "cannot be thought to have sanctioned and protected self-regulative activity when carried out in a fundamentally unfair manner."[100]

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[98] Louis Kaplow & Steven Shavell, *Property Rules Versus Liability Rules: An Economic Analysis*, 109 HARV. L. REV. 713, 725–40 (1996).

[99] Guido Calabresi & A. Douglas Melamed, *Property Rules, Liability Rules, and Inalienability: One View of the Cathedral*, 85 HARV. L. REV. 1089, 1106–10 (1972). *See also* Henry E. Smith, *Property as the Law of Things*, 125 HARV. L. REV. 1691, 1704–10 (2012) (arguing that property rules protect complex institutional arrangements against destabilizing piecemeal intervention).

[100] *Silver*, 373 U.S. at 361.

But demanding formal written notice and adversarial hearings from an Ostrom-style commons community or a tight-knit trading network would be incoherent — it would impose procedural costs that destroy the very governance mechanism the framework aims to protect. In informal governance systems where monitoring and sanctions operate through reputation, graduated social pressure, and community knowledge, the relevant question is whether the excluded member was blindsided without any prior signal or whether the exclusion followed a pattern of warnings, reduced cooperation, and social cues that the member's conduct was unacceptable. A fisher whose neighbors stop trading with him after repeated overharvesting has received process proportionate to the mechanism; a trader expelled overnight by a cartel with no prior indication of noncompliance has not.[101] The procedural floor scales with institutional formality: formal governance bodies must provide formal process; informal governance bodies must provide process recognizable within their own institutional logic.

This three-part standard mirrors the business judgment rule's structure — deference as the default, with specific triggers for heightened scrutiny — and gives courts a defined role without destroying the club good. Courts do not review the substance of governance decisions (whether the member actually committed the violation, whether the sanction was proportionate to the offense, whether the governance body weighed the evidence correctly). Courts review three threshold questions: was the purpose governance-serving or anticompetitive, were the criteria conduct-based or ascriptive, and was proportionate process provided? If all three conditions are met, the governance decision stands. If any is absent, the presumption is overcome and the court reviews the decision under the standard applicable to the specific deficiency — rule-of-reason analysis for anticompetitive purpose, anti-discrimination scrutiny for ascriptive criteria, or procedural review for process failures. The third prong's sliding scale ensures that the standard protects Ostrom's commons communities and Bernstein's trading networks as effectively as it protects FINRA and the NYSE — requiring process that fits the institution rather than imposing a single procedural template that would privilege formal organizations over the informal governance systems that generate some of the largest positive externalities.

The degree of deference within this framework is not uniform. It should track the quality of the ostracism mechanism along three dimensions: accuracy in identifying rule-breakers (does the governance body investigate before sanctioning?), proportionality in sanctioning them (are graduated sanctions available, or is permanent expulsion the only option?), and reliability in distinguishing governance-serving exclusion from anticompetitive or discriminatory exclusion (does the governance body have internal checks against abuse?). Higher-quality mechanisms warrant stronger deference. Lower-quality mechanisms — and non-replicable governance systems where exit is impossible — warrant weaker deference, because

[101] *See* Auto. Elec. Serv. Corp. v. Ass'n of Auto. Aftermarket Distribs., 747 F. Supp. 1483, 1489 (E.D.N.Y. 1990) ("It is the proper policy of the Court to refrain from unnecessarily interfering in the internal affairs of a private, not-for-profit trade association, which is governed by by-laws. . . . Absent bad faith or bias, this Court would not intervene in the dispute or review the determination of AAAD to expel the plaintiff."). The bad-faith exception, not mere procedural irregularity, is the appropriate trigger. *Cf.* Ostrom, Governing the Commons, *supra* note 25, at 90–102 (documenting how commons communities enforce rules through graduated sanctions — verbal warnings, social disapproval, reduced cooperation, and ultimately exclusion — that constitute meaningful process within the community's institutional framework even without formal written procedures).

the costs of governance failure are concentrated on members who cannot escape and non-members who cannot substitute.[102]

Conclusion

This Article has argued that governance is a club good — excludable through ostracism, partially rivalrous through congestion, voluntarily joined, and self-financing — and that this classification produces three consequences the existing literature has not recognized. Governance generates positive externalities for non-members who never participate in the governing body. Courts that displace the ostracism mechanism trigger a compound welfare loss in which both the internal club good and its external spillovers are destroyed. And deference doctrines function as implicit Pigouvian subsidies that reduce governance production costs, partially correcting the undersupply that positive-externality theory predicts.

The framework has immediate implications for three areas of active doctrinal contestation.

First, post-*Loper Light* administrative law. The overruling of Chevron deference removed the Pigouvian subsidy for agency governance at a moment when the positive externalities of specialized regulation — environmental protection, financial stability, public health — are under political and judicial pressure from multiple directions. The compound welfare loss framework predicts that governance quality will degrade and externalities will diminish as agencies shift resources from substantive regulation to defensive litigation. Whether this prediction holds is an empirical question, but the framework provides a theoretical basis for evaluating the consequences that existing administrative law scholarship — focused on institutional competence and democratic legitimacy — does not supply.

Second, the ongoing debate over the Federal Arbitration Act's scope. The framework provides a principled basis for distinguishing commercial arbitration — where sophisticated parties voluntarily submit to governance systems that generate positive externalities for the broader commercial community — from consumer arbitration, where the "voluntariness" of membership is contested and the externalities may flow in the opposite direction if arbitration suppresses claims that would otherwise produce precedent and deterrence. The Pigouvian subsidy framework predicts that the FAA should be calibrated, not categorical: stronger deference where governance externalities are larger and membership is genuinely voluntary, weaker deference where externalities are smaller or negative and membership is functionally compelled.

Third, antitrust treatment of professional association governance. Trade associations, standard-setting organizations, and professional licensing bodies operate governance mechanisms that generate positive externalities — quality standards, ethical norms, consumer pro-

[102] This variable-deference approach is already implicit in how courts treat different governance bodies. Delaware courts give stronger deference to board decisions by independent directors with no conflicts of interest than to decisions by interested directors. Federal courts give stronger deference to FINRA disciplinary proceedings, which include notice, hearing, and appellate review, than to informal expulsion decisions by unincorporated associations. The framework makes the implicit calibration explicit and grounds it in club-goods economics.

tection — while simultaneously creating opportunities for anticompetitive conduct. The proposed standard offers courts a structure for navigating this tension: a rebuttable presumption of validity for governance decisions, overcome by showing anticompetitive purpose, discriminatory criteria, or absence of procedural safeguards. This is not a novel doctrinal invention; it is an economic justification for the structure that *Northwest Wholesale* and *Silver* already imply.

The Article's central empirical limitation is that the compound welfare loss is a theoretical prediction, not a measured quantity. The external-dominates-internal finding — that non-members lose more from governance degradation than members do — rests on a formal model and on the structural observation that non-members vastly outnumber members in every domain examined, not on direct welfare measurement. Comparative institutional analysis offers a path forward: comparing governance outcomes in jurisdictions with stronger versus weaker deference regimes, measuring fraud rates and transaction costs before and after governance breakdowns, and tracking the spillover effects of *Loper Light* on regulated industries. The club-goods framework generates testable predictions. Testing them is the next step.

This Articled demonstrated that governance is a club good. Courts that displace it destroy value for the people least able to protect themselves — the non-members who benefit from governance spillovers without any voice in the decisions that determine whether those spillovers continue. Calibrated deference is not judicial abdication. It is the recognition that governance, like any positive-externality good, requires protection from the forces that would cause it to be undersupplied.

Appendix: Formal Model of the Compound Welfare Loss

This Appendix presents a game-theoretic model extending Hirshleifer and Rasmusen's ostracism framework to incorporate court intervention and positive externalities to non-members. The model formalizes the compound welfare loss described in Part II and confirms that external losses dominate internal losses under a wide range of parameterizations.

Setup

N members of a governing body interact in a repeated game over an infinite horizon. Each period, each active member chooses to Cooperate (comply with governance rules at cost c) or Defect (violate rules for private benefit b, where $b > c$). Defectors face ostracism: exclusion from the governing body for T periods. Members discount future payoffs at rate $\delta \in (0,1)$.

Courts override ostracism decisions with probability $p \in [0,1]$. When a court reinstates a defector, the effective expected punishment falls from T periods to approximately $T(1 - p)$ periods.

Governance Quality and Externalities

Governance quality G is a concave function of the cooperation rate x among active members: $G(x) = x^{\alpha} \cdot Q$, where $\alpha \in (0,1)$ reflects diminishing returns and Q is a scaling parameter. Concavity captures the observation that the first defectors are disproportionately damaging — a single act of fraud in the DDC undermines the reputation of the entire system.

The governing body produces two value streams: internal welfare (for members) and external welfare (for non-members). Internal welfare for members is calculated as:

$$W_{\text{int}} = x \cdot [-c + G(x) \cdot \beta]$$

where β converts governance quality into per-member benefit. External welfare for M non-members is calculated as:

$$W_{\text{ext}} = G(x) \cdot \gamma \cdot M,$$

where γ is the marginal external benefit per unit of governance quality per non-member.

Incentive Compatibility

A member cooperates if the expected payoff from cooperation exceeds the expected payoff from defection followed by ostracism. Cooperation requires:

$$b - c < \Sigma_{s=1}^{T(1-p)} \delta^{s} \cdot [c + G(x) \cdot \beta]$$

The left side is the one-period gain from defection. The right side is the discounted value of benefits foregone during ostracism. As p increases (courts more likely to override), the

right side shrinks: the expected punishment falls, defection becomes more attractive, and the cooperation rate x declines.

The Compound Welfare Loss

When p increases and x falls, both welfare components decline. Internal welfare falls because fewer members cooperate and governance quality $G(x)$ declines. External welfare falls because W_{ext} is proportional to $G(x)$, which has declined.

The ratio of external to internal welfare loss is:

$$\Delta W_{ext} / \Delta W_{int} \approx (\gamma \cdot M) / (\beta \cdot x)$$

Because $M >> N$ in every domain examined (downstream diamond buyers vastly outnumber DDC members; all investors outnumber FINRA member firms; the global population outnumbers any commons community), the external loss dominates the internal loss whenever γ/β is not extremely small — that is, whenever the marginal externality per non-member is not negligible relative to the marginal internal benefit per member. This condition holds in all three domains: fraud reduction, market integrity, and environmental quality all generate per-non-member benefits that are positive and nontrivial.

Calibration and Robustness

The specific ratio $\Delta W_{ext} / \Delta W_{int}$ is parameter-dependent. Under illustrative parameterizations (N = 10 members, M = 50–500 non-members, $\delta = 0.80$, b = 4.0, c = 1.5, T = 5 periods, $\alpha = 0.7$, $\gamma/\beta = 0.05$), the ratio ranges from approximately 50:1 to over 200:1. The directional finding — external losses dominate — is robust across all parameterizations where M >> N and $\gamma > 0$. The specific magnitudes should not be cited as empirical predictions; they depend on assumed values for the discount factor, externality elasticity, and cooperation-collapse function. What the model establishes is the structural result: the compound welfare loss produces external harm that exceeds internal harm by a factor that grows with the ratio of non-members to members.

Optimal Override Rate

The model also permits analysis of the optimal court intervention probability p^*. Total welfare $W_{total} = W_{int} + W_{ext}$ is maximized at an interior p^* that is positive but small. At $p = 0$ (blanket deference), governance operates without any external check on errors or abuse. At high p (plenary review), the ostracism threat lacks credibility and cooperation collapses. The optimum lies between these extremes: courts override a small fraction of governance decisions, providing a check against pathological equilibria while preserving the credibility of the ostracism mechanism. The model does not generate a specific numerical prescription for p^* because the optimal rate depends on institutional parameters (discount factor, externality elasticity, membership size) that vary across governance domains. What the model establishes is the structural result: blanket deference and plenary review are both suboptimal, and calibrated deference — a rebuttable presumption that most governance decisions stand, with judicial intervention triggered by specific conditions — is the welfare-maximizing policy.